If you could just buy the Sensex or Nifty50, you would hold automatically the large, bestselling companies in India that represent the sectors of the economy that are doing well. Jump to the next chapter if you want to know how to do this right away.

What is a mid-cap index? And is the BankEx also an index?

Suppose you wanted to track just food inflation and not the overall inflation in all consumer goods. You would create another index that would look at prices of just the items that are included under food. Then, within food, if you wanted to track inflation in vegetables and fruit? Yup, right, you then use the vegetable and fruit index. Use the same logic to understand the stock market.

The Sensex and Nifty50 are broad market indicators to the price change on a stock exchange, just as the consumer price index is the broad barometer of price changes that affect Indian consumers. The mid-cap index tracks only the representative mid-cap companies. These are companies that are smaller in size than the big, mature companies that sit in the Sensex. Being smaller, they have lower market cap and fewer shares out for trade. Their growth and fall both can be sharp.

A small-cap index will track firms that are even smaller. A BankEx will track the stocks of the banking sector. A PSU index will track the prices of just PSUs (public sector undertakings). A technology index will map the prices of tech firms. An infra index will track prices of infrastructure-related stocks. A FMCG index will track just the prices of FMCG (fast-moving consumer goods) firms. If you can think of an idea, you can create an index around it.

Just as a food index will be more volatile (prices will go up and down with greater intensity) than a broader consumer price index, so also the Sensex will be more stable than the changes in a mid-cap index or a sector index. Volatility affects those who deal in the stock market for short periods of time, but the longer you allow an index to work, the lower the effect of volatility.

In a growing economy, stock prices go up over the long run. Why's that? Think about it. The stock market in not a casino; it is a place where legitimate firms list so that the public and institutions can take part in its business through